

Statement of Advice

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Prepared for John Romito & Meni Romito

Date of advice	09 June 2026
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1. Purpose of this document

This Statement of Advice (SOA) sets out the personal financial advice we are providing to you, John and Meni Romito, and the reasons for it — what we recommend, **why each recommendation is appropriate for you**, the benefits, risks and costs, the alternatives we considered, and how to put the advice into effect.

The advice is **valid as at the date shown** and is based on the information you have provided and the law and rates applying in the 2025–26 financial year. This is **personal advice**; please also read the **Financial Services Guide**.

2. About you — your circumstances

Personal

	John Romito	Meni Romito
Date of birth / age	28/04/1969 (57)	06/04/1970 (56)
Occupation	IT Manager	Business Analyst
Employer	Royal Women's Hospital	Department of Education
Employment	Permanent (currently on sick leave)	Permanent
Income (package)	~\$155,000 (incl. salary packaging) [TO CONFIRM]	~\$115,000 (FY25 taxable \$116,554)
Tenure	~25 years (health sector)	~20 years (government)
Smoker	No	No
Residency	Australian tax resident; obtaining Greek/Italian dual citizenship	Australian tax resident; obtaining Greek/Italian dual citizenship
Address	190 Childs Road, Mill Park VIC 3082	190 Childs Road, Mill Park VIC 3082

Health. John was diagnosed with **cancer ~6 months ago** and is currently on sick leave (a **PET scan has shown positive results**). This materially affects the **priority** of this advice — protection, estate certainty and de-risking come first.

Family. Two adult, financially independent children — a **son (~21, lives at home)** and a **daughter (~23, renting)**. Both are **adult non-dependants** for super death-benefit purposes (a key fact for the estate strategy).

Assets, liabilities & net wealth

Item	Value	Owner	Debt
Home — 190 Childs Rd, Mill Park	\$800,000	Joint	Nil
Investment property — Bundoora	\$850,000	Joint	\$330,000 (ME Bank, 5.79% fixed to Nov 2026, ~\$2,763/mo)
Investment property — Reservoir (2-bed unit)	\$650,000	Joint	Nil
Cash	\$70,000	Joint	—

Item	Value	Owner	Debt
Motor vehicles (3)	~\$145,000	—	Nil
Home contents	~\$204,000 [TO CONFIRM]	—	—
Superannuation — John (Aware Super)	~\$488,000	John	—
Superannuation — Meni (Australian Super)	~\$403,000	Meni	—
Total assets	~\$3,406,000		
Total debts	\$330,000		
Net wealth	~\$3,076,000		

Rental income. The two investment properties generate ~\$50,000 p.a. combined (~\$4,000/month). Both have **long-standing, reliable tenants**; Bundoora is now approximately **neutrally/positively geared** as the loan reduces.

Superannuation — current position

	John (Aware Super)	Meni (Australian Super)
Balance	~\$487,987	~\$403,715
Investment option	MySuper Lifecycle — Balanced 19.8% / High Growth 80.2%	Balanced (default), 100%
Reported returns	strong (high-growth tilt)	1yr 8.69% , 3yr 9.38% p.a., 5yr 7.47% p.a.
Insurance in fund	Death \$28,938 , TPD \$28,938 , Income Protection \$1,000/mo (2-yr benefit, 90-day wait)	Death \$230,000 , TPD \$230,000 , Income Protection \$4,000/mo
Beneficiary nomination	1 non-lapsing binding [TO CONFIRM who]	[TO CONFIRM]

John also holds a **personal accidental-death policy** (~\$700,000, ~\$46/month, ClearView/AIA — *accident only*)

Estate documents

Basic Wills and **Powers of Attorney**, both reviewed **Aug 2025**. The Wills are **not** testamentary trust Wills, and **do not currently provide for grandchildren**.

Leave entitlements

Both of you hold **substantial accrued leave** — John has significant **sick leave** (25-year health-sector tenure) and long service leave; Meni has ~6 months of accrued leave and long service. Long-service balances are material (indicatively **\$100,000+ combined**) and are **assessable income** when paid out — relevant to retirement timing. [TO CONFIRM balances.]

Risk profile

Indicatively, with retirement ~4–5 years away, John's health, and a stated preference for **capital preservation with some growth**, a **balanced (≈60/40)** profile is appropriate — a **de-risk from John's current ~80% growth** weighting. This is to be formally assessed and documented before issue.

3. Your goals and objectives

1. **Retire at age 60 (Meni) / 61 (John)** — in ~4–5 years — with the *option* to do light/low-pressure work, not from necessity.
2. **Pay off the Bundoora investment loan** (~\$330,000) — a key near-term priority.
3. **Generate a reliable retirement income of ~\$100,000 p.a.**, ideally **tax-free**.
4. **Renovate the home** — kitchen (~\$25k), concrete (~\$20k), veranda (~\$5k), front door (~\$5k) ≈ **\$55,000** short-term.
5. **Travel** — spend ~2 months a year in Greece (dual citizenship in progress).
6. **Provide for your children tax-effectively** — ideally leave the investment properties to them, and help them into housing.
7. **Manage John's health** and ensure protection is in place.

4. Scope of this advice

Included

Superannuation strategy (de-risking, consolidation, concessional & carry-forward contributions, contribution of property-sale proceeds, transition to retirement / pension phase, re-contribution); retirement income and cash-flow planning; the **super product/investment** decision (industry funds vs the Lakeside-managed solution); investment-property **CGT timing** on sale; debt-reduction strategy; retention review of existing **personal insurance**; and **coordination** of estate planning.

Excluded / referred

- **Legal drafting** of Wills, testamentary trusts and POAs — by a solicitor (Lakeside Lawyers or your own).
- **Tax-return preparation, property depreciation schedules and the CGT calculation** — by your accountant.
- **New personal insurance underwriting** — not pursued (John's health makes new cover unobtainable; your need is low).
- **Direct property / buy-sell advice** on the investment properties (we advise on the financial/tax implications, not the real-estate transaction).
- **Centrelink Age Pension** — you are well over the assets test and will **not** qualify.

This is **scaled advice** limited to the above, relying on the information in Appendix A. Where information is incomplete we have stated assumptions and items.

5. Summary of our advice

#	Section	Recommendation	Priority
1	7	Upgrade to testamentary trust Wills , put binding death benefit nominations in place, and confirm your POAs.	● Immediate
2	8	Maximise concessional contributions and use carry-forward (catch-up) while both balances are under \$500k — a large tax saving.	● High
3	9	De-risk and consolidate your super to a balanced (≈60/40) profile — out of John's ~80% high-growth weighting.	● High
4	10	Continue paying down the Bundoora loan ; weigh extra repayments vs concessional contributions.	● Medium
5	11	Plan the sale of an investment property in a low-income retirement year to minimise CGT; contribute proceeds to super.	● Medium
6	12	At age 60, commence transition-to-retirement / account-based pensions for tax-free earnings and income.	● At 60
7	13	Undertake a re-contribution strategy to lift the tax-free component of your super.	● Medium
8	14	Set super beneficiary nominations to each other (spouse-first) to avoid death-benefits tax.	● Immediate
9	15	Retain all existing insurance (John's cover is irreplaceable given his illness); do not take new cover.	● High
10	16	Decide the super structure — retain your industry funds, or transition to the Lakeside Core Balanced model (CFS FirstChoice) at a higher fee.	● Medium

6. Your current financial position — analysis

You are in a **very strong position** — net wealth ~\$3.08M, only \$330k of debt, two income-producing properties, ~\$891k of super, and substantial leave entitlements. The issues we have identified:

- **Concentration in property and high-growth equities.** ~\$2.3M of your wealth is in residential property, and John's super is ~80% in growth assets — **too aggressive 4–5 years from retirement**, when a market fall would be hard to recover from before you draw on it.
- **A large, time-limited tax opportunity.** Both super balances are **under \$500,000**, so you can use **carry-forward concessional contributions** — but this window narrows each year and ends once a balance exceeds \$500k — **confirm balances at start of financial year and confirm legislation**.
- **Estate exposure.** Basic Wills with **no testamentary trusts and no provision for grandchildren** — a missed opportunity for asset protection and tax-effective transfer, especially relevant with adult children and grandchildren on the horizon.
- **Death-benefits tax.** With adult non-dependant children, the **taxable component** of your super would be taxed at up to **17%** if it passed to them — addressable in advance.
- **CGT on the investment properties.** Selling either property triggers CGT; **when** you sell (working vs retired) materially changes the tax.

- **Health and timing.** John's diagnosis makes **estate certainty, beneficiary nominations and de-risking time-sensitive.**

7. Strategy 1 — Estate: testamentary trusts, binding nominations & POAs [IMMEDIATE]

Recommendation. (a) **Upgrade your basic Wills to testamentary trust Wills;** (b) put **binding death benefit nominations** in place on both super funds (to each other first, then to your estate); and (c) confirm your existing **enduring Powers of Attorney** remain current and appropriate.

Why this is appropriate for you.

- **Testamentary trusts** let your estate pass into a trust on death, providing **asset protection** for your children (e.g. if a child divorces — a \$100k gift can become a ~\$50–70k loss; assets in/loaned from a trust are protected) and **tax-effective income to grandchildren** at adult marginal rates (your son hopes to have several children). Your current basic Wills do neither.
- **Binding nominations** ensure your super (which does **not** pass under a Will) goes to your spouse first (tax-free) and then through the estate/trust — not directly to non-dependant children (taxed).
- **POAs** are critical given John's health — they let the other act if capacity is lost.

How to implement. Engage a solicitor to prepare testamentary trust Wills (and refresh POAs if needed); we will coordinate the **binding nominations** with Aware Super and Australian Super (or the new fund, if you transition — Section 16).

Risks / consequences. Testamentary trusts cost more than basic Wills (indicatively **\$4,400 + GST** for the pair via Lakeside Lawyers — a **related party**, see Section 21; you may use any solicitor) and add some complexity; the benefits depend on correct drafting and valid nominations.

8. Strategy 2 — Maximise concessional contributions & carry-forward (catch-up) [HIGH]

Recommendation. Make **concessional (pre-tax) contributions** up to the **\$30,000** annual cap, and use the **carry-forward (catch-up)** rules to contribute **unused cap from the prior five years** — while both of your **total super balances remain under \$500,000**.

Confirm your super balances were indeed under \$500k on June 30th 2025.

Why this is appropriate for you — and why it's time-limited.

- Both balances are **under \$500k** (John ~\$488k, Meni ~\$403k), so you can each access **carry-forward unused concessional cap** going back to 2019–20. This can allow contributions **well above \$30,000 in a single year**.
- At your marginal rates, a concessional contribution is taxed at **15% in the fund** vs **30–37% + Medicare** in your hands — a **net saving of ~15–24%** on every dollar.
- You have the **cash flow and surplus** (and will have **property-sale proceeds** — Section 11) to fund it. Using those to make deductible super contributions both **builds retirement savings** and **reduces tax** (including reducing tax on rental income and any capital gain).

Indicative headroom (FY26).

	Employer SG (~12%)	Headroom to \$30k cap	Plus carry-forward (5 yrs)
John	~\$18,000	~\$12,000	substantial — [TO CONFIRM unused caps via Accountant/ATO/myGov]
Meni	~\$13,800	~\$16,000	substantial — [TO CONFIRM unused caps via Accountant/ATO/myGov]

Act before John's balance grows past \$500k. The catch-up opportunity is **lost** in any year your balance exceeds \$500k at the prior 30 June. John is close — prioritise his catch-up contributions in the next 1–2 years. **Confirm year-to-date employer contributions before contributing to avoid exceeding the cap.**

How to implement. Check each fund's YTD employer contributions and your available carry-forward caps on myGov; make personal deductible contributions (or salary sacrifice) before 30 June; lodge a **notice of intent to deduct**; we will model the optimal amount alongside the property-sale timing.

Risks / consequences. Exceeding the cap triggers extra tax; contributions are **preserved** until age 60 + a condition of release; the benefit depends on current law.

Legislative basis: ITAA 1997 Div 291; s291-20 (carry-forward); s290-170 (NOI).

9. Strategy 3 — De-risk and consolidate your super [HIGH]

Recommendation. Move your superannuation to a **balanced (~60/40 growth/defensive)** profile — **reducing John's ~80% high-growth weighting** — and consolidate the strategy so both of you are invested appropriately for a 4–5-year runway to retirement.

Why this is appropriate for you. With retirement close, a **market correction in an 80%-growth portfolio could cut John's balance by a third or more** at exactly the wrong time — just before you start drawing on it, with little time to recover. A balanced portfolio still carries a growth engine for a 2-5 year retirement, but with materially less downside. This aligns with your stated wish to **de-risk** and to **earn a return while protecting capital**.

How to implement. Either (a) switch the investment option **within your existing funds** to Balanced, or (b) implement the **Lakeside Core Balanced model** via CFS FirstChoice (Section 16). Execute the de-risk **before** any market event where possible; phase if you prefer to manage timing risk.

Risks / consequences. A balanced portfolio still fluctuates (just less than high growth); reducing growth slightly lowers expected long-term return — appropriate given your stage and priorities. Switching investment options inside super is **not a CGT event for you** (super-fund level).

10. Strategy 4 — Pay down the Bundoora loan [MEDIUM]

Recommendation. Continue directing surplus toward **extinguishing the ~\$330,000 Bundoora loan**, while **weighing extra repayments against concessional super contributions** (Section 8).

Why this is appropriate for you. Becoming **debt-free** is a stated goal and removes the 5.79% interest cost and interest-rate risk. **However**, at your marginal rates a **deductible super contribution may be the better dollar** — the loan interest is partly tax-deductible (investment loan), while super contributions save 15–24% net *and* build retirement savings. The **loan is fixed until Nov 2026**, so large extra repayments may incur break costs until then.

How to implement. Maintain scheduled repayments until the fixed term ends (Nov 2026); then direct surplus/property-sale proceeds to the loan and/or super per the modelling in Section 17. We will compare **after-tax outcomes** of "extra repayment" vs "concessional contribution" for you.

Risks / consequences. Break costs apply to extra repayments during the fixed period [**TO CONFIRM with ME Bank**]; paying the loan reduces deductible interest. The trade-off is modest either way — both are sound uses of surplus.

11. Strategy 5 — Investment-property CGT plan [MEDIUM]

Recommendation. If you sell an investment property to fund retirement, **sell it in a year when your taxable income is low (i.e., once retired)** — and **contribute the proceeds to super** (as non-concessional and/or deductible contributions). Decide deliberately between **selling for retirement income** and **retaining the properties for the children**.

Why this is appropriate for you. Investment properties do **not** get the main-residence exemption, so a gain is taxable. But:

- Held >12 months, you get the **50% CGT discount**, and the gain is **split 50/50** between you (joint owners).
- The gain is added to your **marginal income** in the year of sale — so selling while earning ~\$155k/\$115k could push it into the **top brackets**, whereas selling **after you retire (near-zero income)** is taxed far more lightly.
- *Illustrative (Reservoir, assuming ~\$150k cost base — sale ~\$650k – cost ~\$150k = ~\$500k gain; less 50% discount = ~\$250k assessable; split = ~\$125k each — taxed at near-top rates if working, but at much lower average rates in a zero-income retirement year. Timing alone can save tens of thousands.*

Keep-vs-sell trade-off (your call). Keeping both properties for the children leaves **~\$1.5M of assets not funding your retirement / only taking advantage of rental income for a period of time**, so your income goal then leans on super + the remaining property. Selling one (likely **Reservoir**) in retirement, contributing the proceeds to super, and building toward **~\$2M of combined super**, gets you to a **~\$100k tax-free pension income** without eroding capital. We have set out both paths so you can choose; you can also **keep one for the kids and sell one** for retirement.

How to implement. Obtain **cost-base records and depreciation schedules** from your accountant (note: depreciation claimed reduces the cost base); model the CGT in a retired year; sequence the sale after employment income stops; contribute proceeds within the contribution caps (and consider re-contribution, Section 13).

Risks / consequences. CGT is payable on sale; property values and timing are uncertain; large non-concessional contributions are subject to caps and the \$2.0M total-super-balance test. **Downsizer contributions do not apply** (these are investment properties, not your main residence).

Legislative basis: ITAA 1997 Div 102/104 (CGT), Div 115 (50% discount); s292 (NCC caps).

12. Strategy 6 — Transition to retirement / pension phase at 60 [AT AGE 60]

Recommendation. From age 60 (your preservation age), commence a **transition-to-retirement (TTR) income stream**, and on full retirement convert to **account-based pensions**.

Why this is appropriate for you. In **pension phase, fund earnings and the income you draw are tax-free**. A TTR from 60 can let you **reduce work hours while topping up income**, and (combined with continued concessional contributions) is tax-efficient in the lead-up to retirement. Your balances are far below the **\$2.0M Transfer Balance Cap** each, so the full amounts can move to tax-free phase.

How to implement. Commence TTR at 60 (minimum 4% / maximum 10% drawdown); convert to full account-based pensions on retirement; sequence with the property sale and contributions so the largest balance is in tax-free phase.

Risks / consequences. TTR rules and caps can change; pension capital remains market-exposed; minimum drawdowns apply once in pension phase.

Legislative basis: ITAA 1997 s295-385 (ECPI); Subdiv 294-B (TBC); SIS Regs (TTR).

13. Strategy 7 — Re-contribution strategy [MEDIUM]

Recommendation. After age 60 (and ideally in the property-sale/retirement window), **withdraw a lump sum (tax-free at your age) and re-contribute it as a non-concessional contribution** to increase the **tax-free component** of your super.

Why this is appropriate for you. Your children are **adult non-dependants** — on your death, the **taxable component** of your super is taxed at up to **17%**. Converting taxable to tax-free component can save them a meaningful amount (potentially **tens of thousands**), and pairs naturally with the property-sale proceeds being contributed to super.

How to implement. Execute after 60, within the non-concessional caps (\$120k/yr or \$360k bring-forward, subject to your total super balance and age <75); document the withdrawal/re-contribution for clean component tracking.

Risks / consequences. Benefit crystallises on death and depends on current law; funds remain preserved in super; size only after confirming each fund's taxable/tax-free split.

Legislative basis: ITAA 1997 s307-125 (proportioning); s292 (NCC).

14. Strategy 8 — Super death benefit nominations [IMMEDIATE]

Recommendation. Set the **beneficiary nomination on both super funds to your spouse** (each other), via a valid **binding nomination** — **not** directly to the children.

Why this is appropriate for you. A spouse is a **tax dependant**, so a death benefit paid to the survivor is **tax-free**. If paid **directly to your adult children** (non-dependants), the **taxable component is taxed at ~17%** — on combined super approaching \$1M+, that is a large, avoidable tax. Direct any amount intended for the children **through your estate/testamentary trust** instead (Section 7).

How to implement. Lodge binding nominations with each fund now (John has one in place — **confirm it names Meni**); review on any change of fund (Section 16) or circumstances.

Risks / consequences. Binding nominations must be valid and current (some lapse after 3 years unless non-lapsing).

15. Strategy 9 — Insurance: retain existing cover [HIGH]

Recommendation. **Retain all existing insurance** — John's Aware Super cover (Death/TPD \$28,938; IP \$1,000/mo) and his personal accidental policy (~\$700k), and Meni's Australian Super cover (Death/TPD \$230,000; IP \$4,000/mo). **Do not cancel any cover, and do not pursue new cover.**

Why this is appropriate for you.

- **John's cover is irreplaceable.** Given his **cancer diagnosis**, new underwriting would decline or heavily load any application — so the existing in-force cover (however modest) should be **preserved**. Note that **pre-existing-condition exclusions** in the super PDS may limit some claims; we will review the policy terms, but retaining cover costs little and preserves optionality.
- **Your need for insurance is low and falling.** You are near-retirement, will soon be **debt-free**, and have substantial assets — so large life cover is not required. Meni's cover is adequate; the modest premiums are not worth cancelling.

- **Caution on the super switch.** If you transition funds (Section 16), **do not cancel the existing cover until any replacement is confirmed in force** — and given John's health, his Aware Super cover likely **cannot be replaced**, which is a reason to **retain his Aware Super account** (even if small) or keep the cover. **[Critical — confirm before any rollover.]**

How to implement. Obtain the policy schedules and PDS terms (definitions, pre-existing exclusions, whether cover continues on partial rollover); retain cover; review the 2-year IP benefit period (limited, but cheap). Coordinate carefully with any super switch.

Risks / consequences. Premiums reduce super balances modestly; some claims may be limited by pre-existing-condition clauses; **rolling John's super out could cancel irreplaceable cover** — handle with care.

16. Strategy 10 — Super structure & the Lakeside Core Balanced model [MEDIUM]

Recommendation (for your decision). Decide whether to (a) **retain your existing industry funds** (Aware Super / Australian Super) and simply **de-risk within them**, or (b) **transition to CFS FirstChoice Wholesale Personal Super invested in the Lakeside Core Balanced model**, which Lakeside manages for an ongoing adviser fee. **We recommend de-risking either way (Section 9); the structure choice is a genuine cost-vs-service trade-off you should make with the facts below.**

What the Lakeside Core Balanced model is

A diversified **60/40** (growth/defensive) portfolio of **16 underlying funds** on CFS FirstChoice — a **core-satellite** design blending low-cost index funds (CFS Index Australian/Global Shares, Bonds, Property ≈ 57%) with active managers (Capital Group, GQG, Magellan, Schroders, Platypus, Pandal, Janus Henderson, Bentham, RQI). Allocation: Cash 5%, Aus FI 18%, Global FI 17%, Aus shares 22.5%, Global shares 30.5%, Property/infra 7%. Risk measure **5 (Medium–High)**, 7-year minimum timeframe.

Performance — the honest comparison

Option	1 yr p.a.	3 yr p.a.
Lakeside Core Balanced , net of product fees	8.3%	7.9%
Meni's Australian Super Balanced (current growth tendencies)	8.69%	9.38%
John's Aware Super High Growth (current)	8.93%	8.99%

The cost — actual figures (FirstChoice calculator, John \$488k / Meni \$403k)

Layer	Rate	\$ on ~\$488k (John)
CFS administration	0.20%	~\$976
Underlying fund ICRs (weighted)	0.38%	~\$1,878
Transaction costs	0.00%	~\$20
CFS total cost of product	0.59%	~\$2,874
Lakeside adviser service fee	0.75% (reduces to 0.50% above \$1M)	~\$3,660
Less: portfolio fee rebate	(0.04%)	(~\$194)
Total all-in	~1.30%	~\$6,340/yr

17. Retirement income projection (illustrative)

The target: ~\$100,000 p.a., tax-free, from age ~60/61.

The path the numbers support. Combined super today is ~\$891k. Over ~5 years, with **maximised concessional + carry-forward contributions, continued growth**, and the **contribution of net proceeds from selling one investment property in a low-income retirement year**, combined super can realistically build toward ~\$2.0M. At a **5% pension drawdown that is ~\$100,000 p.a., tax-free** — *without* eroding capital. You would still retain the **home** and (if desired) **one investment property** for the children, plus rental income and substantial leave payouts in the transition.

Scenario	Combined super	Tax-free income @5%	Meets \$100k?
Today, no changes	~\$891,000	~\$45,000	No — relies on rent + work
+ contributions + growth (to retirement)	~\$1.3–1.5M	~\$65,000–\$75,000	Yes, with rent
+ sell one property, contribute proceeds	~\$2.0M	~\$100,000	Yes, sustainably

Scenario	Combined super	Tax-free income @5%	Meets \$100k?
Keep both properties for the kids	~\$1.3–1.5M	~\$65,000–\$75,000	Income leans on rent; less robust

Illustrative only; assumes ~5–6% net returns (not guaranteed), contributions within caps, CGT managed by timing, and 5% drawdown. A full year-by-year model will be prepared. [TO CONFIRM all inputs.]

18. Risks, consequences and things to consider

- **Investment risk** — super remains market-exposed; de-risking reduces but does not remove volatility; returns are not guaranteed.
- **Sequencing risk** — a market fall just before retirement is the key risk an 80%-growth portfolio carries; de-risking addresses it.
- **Legislative risk** — super, contribution caps, tax and estate rules can change.
- **Capital gains tax** — selling a property triggers CGT; timing (working vs retired) materially changes the bill.
- **Insurance** — John's cover is irreplaceable; a careless rollover could cancel it; pre-existing-condition clauses may limit claims.
- **Concentration & liquidity** — much of your wealth is in property (illiquid); keeping both properties for the kids reduces retirement income flexibility.
- **Health & timing** — estate documents, nominations and de-risking are time-sensitive given John's diagnosis.
- **Fees** — the managed-super option costs more than your current funds; weigh the advice value against the cost.
- **If you do nothing** — John's super stays over-exposed to growth near retirement, the carry-forward tax window narrows and closes, your estate remains exposed, and your \$100k income goal is less certain.

19. Alternatives we considered

Alternative	Why we did not recommend it (or recorded it as your choice)
Stay in the existing industry funds (just de-risk the option)	Cheaper and returns are comparable — a valid, lower-cost path (Section 16). Recorded as the alternative to the managed switch; preferred if you prioritise cost over the managed relationship.
Leave John's super in ~80% high growth	Too much sequencing risk 4–5 years from retirement — de-risk (Section 9).
Keep both investment properties (no sale)	Leaves ~\$1.5M not funding retirement; income goal then leans on rent — valid if leaving property to children is the priority, but less robust (Section 11/17).
Sell a property while still working	CGT added to high marginal income — far more tax than selling in a zero-income retirement year .
Pay all surplus into the loan, none to super	Forgoes the ~15–24% net tax benefit of concessional/carry-forward contributions; both are sound, but a blend is better.
Gift cash directly to children	A documented loan via a testamentary trust protects the capital on relationship breakdown.
Take new life insurance	Not obtainable (John) / not needed (low need, near-retirement, debt-free).
Do nothing	Leaves growth, tax, estate and protection issues unaddressed.

20. What this advice costs you

Fee	Amount	Notes
Initial advice fee (this SOA & implementation)	\$2,000 + GST = \$2,200	As discussed; may be partly tax-deductible as investment advice — confirm with your accountant.
Ongoing adviser fee (only if you transition to the Lakeside model / engage ongoing management)	0.75% p.a. of the balance managed, reducing to 0.50% above \$1M	Documented under an ongoing fee arrangement with annual fee consent and a Fee Disclosure Statement . In addition to the CFS product cost (~0.59%) → all-in ~1.30% (Section 16 / Appendix B). Conflict disclosed (Section 21).
Estate documents (testamentary trust Wills, pair)	~\$4,400 incl. GST	Separate legal engagement — Lakeside Lawyers (related party, Section 21) or your own solicitor.

We receive **no commissions** on your superannuation or investments.

21. Important information and disclosures

- **Related party.** Lakeside Lawyers (if used for the Wills) is associated with Lakeside Financial; you may use any solicitor.
- **No product commissions** on the super/investment recommendations.
- **Basis of advice / best interests.** Prepared on the information you provided (Appendix A); where incomplete we have stated assumptions and items — tell us if any is wrong, as it may change the advice.

22. Implementation plan — your next steps

Step	Action	Who	When	Priority
1	Binding death nominations to spouse on both funds	You / adviser	Now	●
2	Upgrade to testamentary trust Wills ; confirm POAs	You / solicitor	Now	●
3	Confirm carry-forward caps (myGov) and YTD employer contributions	You / adviser	Before 30 June	●
4	Make concessional + catch-up contributions (prioritise John)	You / adviser	Before 30 June each FY	●
5	De-risk super to balanced	Adviser / fund	Promptly	●
6	Confirm insurance terms ; retain cover; protect John's Aware cover on any switch	Adviser	Before any rollover	●
7	Decide super structure (retain vs Lakeside model)	You	After review	●
8	Obtain property cost base + depreciation schedules ; model CGT	You / accountant	Before any sale	●
9	At retirement: sell one property in a low-income year , contribute proceeds, commence pension phase , execute re-contribution	Adviser / accountant	~age 60–61	●
10	Review Bundoora loan at end of fixed term (Nov 2026)	You / adviser	Nov 2026	●

23. Authority to proceed

I/We, **John Romito** and **Meni Romito**, confirm that I/we have received and read this Statement of Advice and the FSG; that the information about our circumstances in Section 2 is correct; that the adviser has explained the advice, fees, risks and alternatives and we have had the opportunity to ask questions; and I/we authorise Lakeside Financial to implement the recommendations ticked below.

Recommendation	Proceed?
Testamentary trust Wills + binding nominations + POAs — §7, §14	☐ Yes ☐ No
Maximise concessional + carry-forward contributions — §8	☐ Yes ☐ No
De-risk super to balanced — §9	☐ Yes ☐ No
Bundoora loan strategy — §10	☐ Yes ☐ No
Investment-property CGT plan — §11	☐ Yes ☐ No
TTR / pension phase at 60 — §12	☐ Yes ☐ No
Re-contribution strategy — §13	☐ Yes ☐ No
Retain all insurance — §15	☐ Yes ☐ No
Super structure — choose one:	☐ Retain industry funds (de-risk within) ☐ Transition to Lakeside Core Balanced model

24. Appendix A — information relied upon & assumptions

Documents relied upon: Client Profile – Summary (Lakeside/Pareto); balance sheet / financial situation rundown; Aware Super statement (John, ~\$487,987); Australian Super statement (Meni, ~\$403,715); Meni's FY25 Notice of Assessment (taxable \$116,554); John's FY25 income statement (Royal Women's Hospital); FirstChoice manager & asset allocation calculators (John \$488k, Meni \$403k); Morningstar/Lakeside Core Balanced, Balanced and Conservative portfolio profiles; meeting notes (Apr 2026).

Key assumptions: retirement at age 60 (Meni) / 61 (John); preservation age 60; ~5–6% net investment returns (not guaranteed); concessional cap \$30,000 + available carry-forward; contributions within caps; CGT managed by sale timing; FY26 thresholds continue. **[TO CONFIRM]** all items in Section 23.

25. Appendix B — fee comparison (retain industry funds vs Lakeside model)

Layer	Retain industry funds (Aware / Australian Super)	Lakeside Core Balanced (CFS FirstChoice)
Administration	low (industry-fund flat + %); often ~\$50–\$600 + ~0.10–0.20%	0.20%
Investment cost	~0.50–0.70% (Balanced option)	ICR ~0.38% + transaction ~0%
Portfolio rebate	n/a	(0.04%)
Adviser fee	nil (no ongoing adviser fee)	0.75% (→ 0.50% above \$1M)
All-in (indicative)	~0.6–1.0%	~1.30% (≈1.1% above \$1M)
On John's ~\$488k	~\$3,000–\$4,900	~\$6,340

26. Appendix C — Lakeside Core Balanced model holdings (look-through)

The recommended model's 16 underlying funds (target weights, from the FirstChoice calculator):

Asset class	Fund	Weight	Investment fee (ICR)
Cash	First Sentier Strategic Cash	5.0%	0.20%
Aust. fixed interest	CFS Index Australian Bond	16.0%	0.15%
Aust. fixed interest	Janus Henderson Tactical Income	2.0%	0.50%
Global fixed interest	CFS Index Global Bond	13.0%	0.15%
Global fixed interest	Bentham Global Income	4.0%	0.74%
Australian shares	CFS Index Australian Share	10.0%	0.16%
Australian shares	Schroder Australian Equity	4.5%	0.85%
Australian shares	Platypus Australian Equities	4.0%	0.75%
Australian shares	RQI Australian Value	4.0%	0.45%
Global shares	CFS Index Global Share – Hedged	14.0%	0.16%
Global shares	RQI Global Value	7.0%	0.56%
Global shares	Capital Group New Perspective	5.5%	0.80%
Global shares	GQG Partners Global Equity	2.0%	0.81%
Global shares	Pendal Global Emerging Markets	2.0%	1.42%
Property/infra	CFS Index Global Property Securities	4.0%	0.15%
Property/infra	Magellan Infrastructure	3.0%	1.11%
Total	16 funds	100%	~0.38% weighted

A diversified, index-core multi-manager portfolio (≈60/40 growth/defensive). Weights are targets and may change. **[Confirm current weights/codes at implementation.]**

27. Appendix D — legislation cited

Concessional cap (ITAA 1997 Div 291); carry-forward (s291-20); notice of intent (s290-170); NCC caps & bring-forward (s292); Transfer Balance Cap (Subdiv 294-B); exempt current pension income (s295-385); proportioning rule (s307-125); death benefits to non-dependants (s302-145); CGT and 50% discount (Div 102/104/115); SIS Act 1993 & Regs (TTR/pensions); Division 296 (>\$3M super, proposed — **not applicable**, your balances are well under \$3M each).

28. Appendix E — glossary

- **Carry-forward (catch-up) concessional contributions** — using unused concessional cap from the prior 5 years; available only if your total super balance is under \$500,000 at the prior 30 June.
- **Concessional contribution** — a before-tax contribution (employer, salary sacrifice, personal deductible); taxed 15% in the fund.
- **Non-concessional contribution (NCC)** — an after-tax contribution; not taxed in the fund.
- **Transition to retirement (TTR)** — an income stream you can start at preservation age (60) while still working.
- **Account-based pension** — a retirement-phase income stream; earnings tax-free within the Transfer Balance Cap.
- **Transfer Balance Cap (TBC)** — the lifetime limit (\$2.0M) on what can move into tax-free retirement phase.
- **Taxable / tax-free component** — parts of a super balance; the taxable part can be taxed to non-dependant beneficiaries on death.
- **CGT 50% discount** — halves the assessable capital gain on assets held >12 months.
- **Testamentary trust** — a trust created by a Will, operating on death; provides asset protection and tax-effective income to beneficiaries.

— End of Statement of Advice —